ICORs. By reserving basic industries, mining and utilities only for the public sector as well as new investments in most other capital-intensive industries (Schedule A and Schedule B of the Industrial Policy Resolution, 1956) for the public sector, the government actually bit off more than it could chew.

Industrial projects suffered from both ends. Project costs kept going up and means of financing kept getting increasingly stressed. Smaller availability of resources led to thinner allocations, which led to time and cost overruns. India had severe under-capacity in all basic industries, such as iron and steel, cement, capital goods and even cars, scooters and telecom equipment. No wonder many of these commodities had to be placed under control orders issued under ECA-1955 and rationed. By the 1970s, these shortages reached extremes. Instead of controlling the commanding heights of industry, the public sector was struggling to meet even minimum demand of several products.

Private Sector Debarred from Many Industries

The industrial policy regime instituted in the 1950s muzzled the private sector by grossly limiting its entry and presence in industry in four major ways:

First, the private sector was debarred from entering into basic goods, capital goods, utilities and mining of major minerals—iron and steel, heavy castings and forgings of iron steel, heavy plant and machinery, heavy electrical plants, coal and lignite, mining and processing of copper, lead, zinc, tin, molybdenum and wolfram, atomic minerals, aircraft, air transport, railway transport, shipbuilding, distribution of electricity and many more. By and large, in this reserved field, private-sector presence became minuscule or completely non-existent.

Second, in other important industrial sectors—like minerals not in Schedule A, aluminium, machine tools, ferro alloys, basic and intermediate